

vengeanceaiUSCMODEL20.0 — Assumptions List

Ticker: FICO

Format: Plain list only (no charts). Every item uses **What / How / Why / Revisions / Source**.

Download URL: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel20-d3ac/FICO/output/MODEL20_FICO_ASSUMPTIONS_LIST.pdf

A. Overview & Branch Process Revisions

Overview: Document purpose

What it is: Canonical printable assumptions list for vengeanceaiUSCMODEL20.0 (ticker FICO). Plain list only — no charts.

How set in model: Each item below uses the same four fields: **What / How / Why / Source**.

Why this choice: Readers should scan one assumption at a time. Dense prose blocks are avoided so Branch Process **Revisions** stay easy to audit.

Source: MODEL20 Assumptions List PDF

Source URL: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel20-d3ac/FICO/output/MODEL20_FICO_ASSUMPTIONS_LIST.pdf

Overview: MODEL18 rating (7.5/10)

What it is: Predecessor model quality score before MODEL20 equity-bridge debt fix.

How set in model: Rated from MODEL18 workbook CF→DCF / Equity bridge audit (not a market price target).

Why this choice: MODEL18 flaws affecting Equity→\$/share: (a) 1.4×FCF buybacks cut DCF shares to ~11M while D34 still equals today's 10-Q debt only; (b) 3S debt issuance (row 19 = (MULT-1)×FCF) funds the extra 0.4× and is never subtracted from Equity Value — overstates intrinsic \$/share. Stub/SBC/SaaS/WACC keep. MODEL20 keeps Yacktman-adj CAPM 7.68% (D6←R15) and stub/SBC/SaaS paths; only the debt bridge changes.

Source: Internal MODEL18 critique (Phase 1)

Source URL: https://github.com/vengeanceaiUSC/Rainmaker/blob/cursor/vengeanceaiusmodel20-d3ac/FICO/output/MODEL20_FICO_ASSUMPTIONS_LIST.pdf

Overview: Key MODEL20 Revisions (Branch Process)

What it is: Drivers changed from Model18 (**Previous**) to Model20 (**New**).

How set in model: (1) Equity-bridge debt: **Previous** D34=D13 (today only) → **New** D34=D13+64.66%×3S!J19+K19:N19 (adds 1.4×FCF buyback-funded debt). (2) Stub / SBC / SaaS / CapEx / WACC / exit / g: unchanged vs Model18.

Why this choice: Revisions — Levered buybacks that shrink I16 must also raise debt subtracted from EV; otherwise \$/share is overstated. **Updated** from Model18 (**Previous:** D34=D13 today's 10-Q debt only while I16 used Y5 buyback-shrunk shares) to Model20 (**New:** D34 = D13 + stub×3S!J19 + K19+L19+M19+N19). Y1 debt CF stub-scaled to match stub-scaled Y1 buybacks. Cash D33 stays 10-Q cash+mkt (ΔCash=0 by design). Pairs levered share shrink with the debt that funded it.

Source: 3S financing rows 19–20 + 10-Q debt bridge

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000016/fico-20250331.htm>

Overview: WACC (Yacktman-adj CAPM — unchanged algebra)

What it is: Primary discount rate D6 = R15 ≈ 7.68% (algebraic CAPM; not a hardcoded %).

How set in model: WACC unchanged vs Model17 algebra: Yacktman-adj CAPM 7.68% (D6=R15).

$\beta_{\text{Blume}} = (2/3) \times 1.32 + (1/3) \times 1.0 = 1.213$; $\beta_{\text{AAA}} = 0.70$; $\beta_{\text{Yacktman}} = 0.30 \times \beta_{\text{Blume}} + 0.70 \times \beta_{\text{AAA}} = 0.854$;
 $K_e = R_f(4.67\%) + \beta \times \text{ERP}(4.28\%) = 8.33\%$; $R_{d_at} = 6.250\% \times (1 - 18.77\%) = 5.08\%$; $\text{WACC} = 80\% \times K_e + 20\% \times R_{d_at} = 7.68\%$. No naked hardcoded discount rate. Sources: <https://finance.yahoo.com/quote/FICO/key-statistics/>;
<https://www.jstor.org/stable/2329867>; <https://fred.stlouisfed.org/series/DGS10>;
<https://www.sec.gov/Archives/edgar/data/814547/000119312526117936/d56220d8k.htm>.

Why this choice: Revision is temporal (stub) and operating (SBC/mix/CapEx), not a naked WACC override. Same Blume+AAA β as Model17.

Source: FRED DGS10 Rf; Yahoo β; Damodaran ERP; SEC 8-K 6.250% Rd
Source URL: <https://fred.stlouisfed.org/series/DGS10>

Overview: Exit / terminal / growth framing

What it is: Exit BASE 23.0x; g 3.5%; peer median ~18.1x; Bull 27.0x / Bear 17.0x.

How set in model: Exit unchanged vs Model17 (BASE 23.0x; Bull 27.0x / Bear 17.0x). Revenue growth path unchanged vs Model17 (30%/18%/14.5%/11%/8.5%). DCF applies stub scaling to Y1 FCFF only — 3S still builds a full fiscal year for BS integrity.

Why this choice: Unchanged vs Model17 so MODEL20 isolates stub + SBC + mix **Revisions**.

Source: VCP Scanner peer EV/EBITDA comps

Source URL: <https://vcpscanner.com/valuation/fico/relative>

Overview: Platform / SaaS cash-flow source (new emphasis)

What it is: Q3 FY2026 Platform ARR \$413M (+62%) and Software ARR \$816M (+10%); SaaS revenues +21% — Deferred cash source via mix shift.

How set in model: SaaS mix shift raised from +250 to +300 bps/yr taken from on-prem; +ΔDeferred stays a separate CFO/FCFF line.

Why this choice: Revisions — Scores OM ≈ 91% (IR

<https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85>). GM_B2B 97% unchanged vs Model17. Q3 Platform ARR \$413M (+62%) / Software ARR \$816M (+10%)

(<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>; transcript <https://stockanalysis.com/stocks/fico/transcripts/656443-q3-2026/>).

Source: SEC EX-99.1 Q3 FY2026; earnings-call transcript

Source URL: <https://stockanalysis.com/stocks/fico/transcripts/656443-q3-2026/>

B. Three-Statement Forecast Assumptions

Row 7: Revenue Growth

What it is: Year-over-year % increase in revenue for each forecast year.

How set in model: Yellow POLICY input: 30.0% / 18.0% / 14.5% / 11.0% / 8.5%.

Why this choice: Revisions — Revenue growth path unchanged vs Model17 (30%/18%/14.5%/11%/8.5%). DCF applies stub scaling to Y1 FCFF only — 3S still builds a full fiscal year for BS integrity.

Source: SEC EX-99.1 Q3 FY2026 — Scores +41% / B2B +49%; FY2026 guidance

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

Row 8: COGS % of Revenue

What it is: Cost of revenues as a % of sales (gross margin = 1 – this).

How set in model: Excel: MAX(8%, segment blended COGS base≈12.98% – 120bps × year).

Why this choice: Revisions — MODEL20 Yacktmán: Margins unchanged vs Model17 (COGS –120 / SG&A –175 / R&D –50; floor 8%; GM_B2B 97%). Mix % offset within Total Revenue (not a second revenue stack).

Source: SEC 10-K FY2025 — Scores +\$249M YoY 'primarily attributable to a higher unit price'

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 9: SG&A; % of Revenue

What it is: Operating opex (SG&A) as % of sales.

How set in model: Equation: MAX(14%, (I28 – 10,922)/I24 – 175bps × year). Strips FY25 restructuring; then –1.75% of sales each year.

Why this choice: Revisions — SG&A unchanged vs Model17 (–175 bps/yr, floor 14%) — Scores near-100% incremental margins.

Source: SEC 10-K FY2025 — SG&A + Scores pricing commentary

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 10: R&D; % of Revenue

What it is: Research & development expense as % of sales (IS label: R&D, not Rent).

How set in model: Excel: MAX(7%, I29/I24 – 50bps × year).

Why this choice: Revisions — R&D unchanged vs Model17 (–50 bps/yr, floor 7%) — royalty price dollars do not require 1:1 R&D.

Source: SEC 10-K FY2025 — Research and development

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 11: D&A; % of Revenue

What it is: Total depreciation & amortization as % of sales (software-industry driver).

How set in model: Yellow POLICY input: flat 0.84% (3yr FY23–25 avg TOTAL D&A). Forecast DA\$ = Revenue × DA%; CF row 63 adds it back once.

Why this choice: MODEL20: TOTAL D&A ≈ 0.84% of Rev. SBC is a SEPARATE add-back — no double-count.

Source: SEC companyfacts — DepreciationDepletionAndAmortization (+ AmortizationOfIntangibleAssets)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 12: Interest % of Debt Open

What it is: Interest expense as % of opening debt balance.

How set in model: Excel equation: I101/I98 (FY25 interest ÷ FY25 opening debt in schedule).

Why this choice: Approximates average coupon / cost of debt on the book. Debt stock follows the net debt issuance assumption (row 19).

Source: SEC 10-K FY2025 — Interest expense; see also 8-K 6.250% notes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 13: Book Tax Rate (% of EBT)

What it is: Effective book tax rate applied to forecast EBT → Net Income.

How set in model: Excel equation: I35/I33 (FY25 tax ÷ simplified FY25 EBT in this template).

Why this choice: Book rate (~19%) remains on the income statement. DCF unlevered cash taxes use a separate cash tax rate (22.87% = 3yr IncomeTaxesPaidNet/EBT). Keep cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). Book ETR ~18.8% used in CAPM Rd(1–T).

Source: SEC 10-K FY2025 — tax expense; cash taxes from IncomeTaxesPaidNet

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 15: DSO — Accounts Receivable (Days)

What it is: Days Sales Outstanding. AR = Revenue × DSO / 365.

How set in model: Yellow POLICY path: phases 97d (FY25 hist) → 28d over 5 years (Y1=83.2d ... Y5=28d). Segment blend ref ≈ 27.5d on schedule row 115 (SaaS 40/B2C 2/B2B 25/PS 12/On-prem 40).

Why this choice: Revisions — DSO path unchanged vs Model17 (97→28d). DSO path unchanged vs Model17 (97→28d). Op NWC = AR+Inv–AP ONLY. +ΔDeferred is a SEPARATE CFO/FCFF source. No AR/unearned double-count. **Source:** <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>. Deferred = Rev × (SaaS%+OnPrem%) × (FY25 Def/FY25 soft Rev); +ΔDeferred in CFO row 81. Faster SaaS mix (+300 bps/yr) raises Deferred cash vs Model17 (+250). Detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-K FY2025 — AR; Q1 FY2026 deferred detail (R45)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 16: Inventory (Days)

What it is: Inventory days (Inv = COGS × days/365).

How set in model: Hard zero — FICO is software / scores; inventory is immaterial.

Why this choice: No inventory cycle to fund.

Source: SEC 10-K FY2025 — Inventory ≈ \$0

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 17: DPO — Accounts Payable (Days)

What it is: Days Payable Outstanding. $AP = COGS \times DPO / 365$.

How set in model: Excel equation: $ROUND(I48/I25 \times 365, 0)$ from FY25; held flat.

Why this choice: MODEL20: DPO pairs with phased DSO for Op NWC = $AR + Inv - AP$. Deferred is a SEPARATE CFO cash source (row 81) — never mixed into AR/DPO.

Source: SEC 10-K FY2025 — Accounts payable

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 18: CapEx % of Revenue

What it is: Capital investment (PPE + capitalized software) as % of sales.

How set in model: Yellow POLICY path: 0.85% / 0.70% / 0.55% / 0.45% / 0.35% (fade with operating leverage).

Why this choice: Revisions — MODEL20 Yacktmán: **Updated** CapEx from Model17 (**Previous:** 1.00% → 0.85% → 0.70% → 0.55% → 0.40%) to Model18 (**New:** 0.85% → 0.70% → 0.55% → 0.45% → 0.35%) — Scores coupons need ~0 CapEx; Platform is mostly cloud opex not PPE.

Source: SEC 10-K / companyfacts — PPE purchases + capitalized software; fade to maintenance

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 19: Debt Issuance (Repayment)

What it is: New borrowing (+) or repayment (–) in the forecast (\$000s).

How set in model: Equation: $-(CFO - CapEx) - EquityCF = (1.40 - 1) \times FCF$ (debt funds buybacks above organic FCF).

Why this choice: Revisions — MODEL20: Buybacks unchanged vs Model18 ($1.40 \times (CFO - CapEx)$; debt funds MULT–1). Q3 FY2026 buybacks \$1960M vs FCF \$370.3M (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>). Financing is excluded from FCFF.

Source: SEC EX-99.1 Q3 FY2026 — levered buybacks; companyfacts senior notes / LOC

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 20: Equity Issued (Repaid)

What it is: New equity issued (+) or buybacks (–) in the forecast BS/CF.

How set in model: Equation: $-1.40 \times (CFO - CapEx)$ levered buybacks (hist 3yr avg ≈ \$881M/yr; Q3 FY26 >> FCF).

Why this choice: Revisions — Buybacks unchanged vs Model17 ($1.40 \times FCF$); Y1 DCF share effect stub-scaled. Shares path unchanged vs Model18 (21,597.635k @ \$1,149 post–Q3 → Y5 via $1.4 \times FCF$). SBC add-back does NOT dilute; Y1 share reduction uses stub-scaled equity CF (64.66% of year). MODEL20 pairs I16 with D34 debt that includes forecast issuance.

Source: SEC EX-99.1 Q3 FY2026 — buybacks vs FCF; 10-K FY2025 repurchase footnote

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 21: SBC % of Revenue

What it is: Stock-based compensation as % of sales; non-cash add-back in CFO and FCFF.

How set in model: Yellow POLICY fade path: 7.00% / 6.50% / 6.00% / 5.50% / 5.00% (starts at 3yr avg 7.00%).

Why this choice: Revisions — MODEL20 Yacktmán: **Updated** SBC from Model17 (**Previous:** fade 8.25% / 7.80% / 7.40% / 7.00% / 6.60%) to Model18 (**New:** fade 7.00% / 6.50% / 6.00% / 5.50% / 5.00%). Treat SBC with suspicion but not so hard that royalty price-ups are taxed 1:1 with grants. **Source:**

<https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>; Scores pricing

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>.

Source: SEC 10-K cash flow — ShareBasedCompensation (add-back only; no share dilution)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 104: Mix % — SaaS / Platform software

What it is: Share of Total Revenue from SaaS / cloud software (incl. FICO Platform cloud).

How set in model: FY25 base 21.08% (SaaS \$419,720k / Total \$1,990,869k), then +300 bps/yr taken from on-prem. Platform ARR KPI \$263.6M is not additive IS revenue.

Why this choice: Revisions — Updated SaaS mix shift from Model17 (**Previous:** +250 bps/yr) to Model20 (**New:** +300 bps/yr) — Q3 Platform ARR +62% to \$413M / SaaS +21%. Deferred → explicit CFO cash (row 81). **Source:** <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/fico-20251231.htm>; EX-99.1 Q3 FY2026.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue / contract liabilities detail

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 105: Mix % — B2C Subscriptions (myFICO)

What it is: Share of Total Revenue from B2C scoring / myFICO.com subscriptions.

How set in model: Yellow POLICY = 11.05% (FY25 B2C Scores \$219,980k / Total \$1,990,869k).

Why this choice: Near-zero DSO (card-settled consumer subscriptions). Minimal Deferred Revenue vs annual SaaS invoices. High incremental margin; WC-light cash conversion.

Source: SEC 10-K FY2025 — Scores segment B2C / myFICO disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 106: Mix % — B2B Scores

What it is: Share of Total Revenue from B2B scoring (mortgage, auto, card via CRAs).

How set in model: Yellow POLICY = 47.65% (FY25 B2B Scores \$948,595k / Total \$1,990,869k).

Why this choice: Transactional volume through Experian/TransUnion/Equifax; ~30-day DSO. Does not create SaaS-style Deferred Revenue (usage-based recognition).

Source: SEC 10-K FY2025 — Scores segment B2B disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 107: Mix % — Professional Services

What it is: Share of Total Revenue from implementation / consulting / training fees.

How set in model: Yellow POLICY = 4.13% (FY25 PS \$82,149k / Total \$1,990,869k).

Why this choice: Upfront integration fees convert cash quickly (low DSO) but carry significantly lower gross margin than software/scores — pulls blended COGS up vs pure SaaS.

Source: SEC 10-K FY2025 — Software segment Professional services line

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 108: Mix % — On-Premises Software

What it is: Share of Total Revenue from on-premises license + maintenance software.

How set in model: Yellow POLICY = 16.09% (FY25 on-prem \$320,425k / Total \$1,990,869k).

Why this choice: With SaaS mix, drives Deferred Revenue (maintenance billed in advance). Same 45-day DSO policy as SaaS. Completes mix identity to 100% of Total Rev.

Source: SEC 10-K FY2025 — Software on-premises vs SaaS deployment table

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

C. DCF Assumptions

DCF-D5: Cash Tax Rate (unlevered)

What it is: Cash tax rate used for FCFF unlevered taxes and after-tax cost of debt.

How set in model: Yellow POLICY = 22.87% (3yr avg IncomeTaxesPaidNet ÷ EBT). NOT linked to book tax J13.

Why this choice: Keep cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). Book ETR ~18.8% used in CAPM Rd(1-T).

Source: SEC companyfacts — IncomeTaxesPaidNet / EBT

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

DCF-D6: WACC (Yacktman-adj CAPM — D6 = R15)

What it is: Weighted average cost of capital for XNPV of FCFF + TV.

How set in model: $D6 = R15 \approx 7.68\%$ (same Yacktman-adj CAPM algebra as Model17 7.68%). Stub timing is separate (see DCF-D9). $Rf/\beta/ERP/Rd$ inputs in Q6:R15 with clickable sources.

Why this choice: Revisions — WACC unchanged vs Model17 algebra: Yacktman-adj CAPM 7.68% ($D6=R15$).

$\beta_{\text{Blume}} = (2/3) \times 1.32 + (1/3) \times 1.0 = 1.213$; $\beta_{\text{AAA}} = 0.70$; $\beta_{\text{Yacktman}} = 0.30 \times \beta_{\text{Blume}} + 0.70 \times \beta_{\text{AAA}} = 0.854$;

$Ke = Rf(4.67\%) + \beta \times ERP(4.28\%) = 8.33\%$; $Rd_{\text{at}} = 6.250\% \times (1 - 18.77\%) = 5.08\%$; $WACC = 80\% \times Ke + 20\% \times Rd_{\text{at}} = 7.68\%$. No

naked hardcoded discount rate. Sources: <https://finance.yahoo.com/quote/FICO/key-statistics/>;

<https://www.jstor.org/stable/2329867>; <https://fred.stlouisfed.org/series/DGS10>;

<https://www.sec.gov/Archives/edgar/data/814547/000119312526117936/d56220d8k.htm>.

Source: Blume 1971; FRED DGS10; Yahoo β ; Damodaran ERP; SEC 8-K 6.250% Rd

Source URL: <https://fred.stlouisfed.org/series/DGS10>

DCF-D7: Perpetual Growth (g)

What it is: Long-run growth used only in the Gordon TV cross-check.

How set in model: POLICY input = 3.5% (unchanged vs Model17).

Why this choice: Long-run nominal GDP-like floor; primary TV uses exit multiple.

Source: Damodaran long-run growth framing

Source URL: https://pages.stern.nyu.edu/adamodar/New_Home_Page/datafile/histimpl.html

DCF-D9/E26: Stub-period valuation date & Y1 FCFF scale

What it is: As-of date for XNPV and the fraction of Year-1 unlevered FCF that has not yet occurred.

How set in model: $D9 = 2026-08-06$; $E18$ = mid-stub; $E26 = 0.646575 \times$ full Y1 FCFF; Y1 share buybacks similarly stub-scaled.

Why this choice: Revisions — **Updated** temporal discounting from Model17 (**Previous:** $D9$ =hist FYE 2025-09-30;

full-year Y1 FCFF at mid-year EDATE) to Model18 (**New:** valuation date 2026-08-06; FY stub start 2026-03-30; 129/365 elapsed = 35.34%; Y1 FCFF $\times$ 64.66% remaining; $E18$ = mid-stub 2026-12-02 = $D9+118d$; Y2–Y5 midpoints via EDATE from stub FY calendar). Only cash yet to occur is valued.

Source: Model stub calendar 3/30/2026 $\rightarrow$ 3/29/2027; valuation 8/6/2026

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

DCF-D8: Exit EV/EBITDA (BASE)

What it is: Terminal enterprise value multiple on Year-5 EBITDA.

How set in model: POLICY BASE 23.0x; Bull 27.0x; Bear 17.0x. Peer set: EFX 13.88x, VRSK 17.42x, SPGI 18.11x, MCO 22.20x, MSCI 23.74x. Median $\approx$ 18.11x.

Why this choice: Revisions — Exit unchanged vs Model17 (BASE 23.0x; Bull 27.0x / Bear 17.0x).

Source: VCP Scanner FICO peer EV/EBITDA comps + Yacktman premium

Source URL: <https://vcpscanner.com/valuation/fico/relative>

DCF-D13/D14/D34: Debt & Cash (equity bridge)

What it is: Gross debt and cash+marketable securities for EV $\rightarrow$ equity. D13/D14 are today's 10-Q balances; D34 is the debt actually subtracted from EV (includes forecast buyback-funded issuance).

How set in model: $D13/D14$ = latest 10-Q bridge. $D34 = D13 + 0.6466 \times 3S!J19 + K19 + L19 + M19 + N19$ (Y1 debt CF stub-scaled). $D35 = D32 + D33 - D34$.

Why this choice: Revisions — **Updated** from Model18 (**Previous:** $D34=D13$ today's 10-Q debt only while I16 used Y5 buyback-shrunk shares) to Model20 (**New:** $D34 = D13 + \text{stub} \times 3S!J19 + K19 + L19 + M19 + N19$). Y1 debt CF stub-scaled to match stub-scaled Y1 buybacks. Cash D33 stays 10-Q cash+mkt ($\Delta\text{Cash}=0$ by design). Pairs levered share shrink with the debt that funded it.

Source: SEC 10-Q debt/cash bridge; 3S financing row 19 (debt funds $0.4 \times \text{FCF}$)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000016/fico-20250331.htm>

DCF-D12/I16: Shares Outstanding (buyback-adjusted)

What it is: Starting shares (D12 $\approx$ 21,597.6k post-Q3 @ \$1,149) fall each year with 1.4 $\times$ FCF buybacks (3S equity CF / price). SBC is added back in FCFF but does NOT increase shares — avoids double penalty. \$/share uses Y5 shares (I16).

How set in model: D16=\$D\$12; E16:I16 = MAX(1000, prior + 3SI{J-N}20 / \$D\$11); D37=\$D\$35/\$I\$16.

Why this choice: Revisions — Shares path unchanged vs Model18 (21,597.635k @ \$1,149 post-Q3 $\rightarrow$ Y5 via 1.4 $\times$ FCF). SBC add-back does NOT dilute; Y1 share reduction uses stub-scaled equity CF (64.66% of year). MODEL20 pairs I16 with D34 debt that includes forecast issuance.

Source: EX-99.1 Q3 FY2026 — shares $\approx$ 21,597.6k @ \$1,149; FY25 buybacks \$1.415B

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

DCF-E25: Net WC investment (Δ OpNWC – Δ Deferred)

What it is: FCFF subtracts Δ Operating NWC (AR+Inv–AP) and adds Increase in Deferred Revenue. AR and Deferred are strictly separated.

How set in model: DCF E25:I25 = 3SI{J-N}90 – (3S Def_t – Def_t–1). Equivalent to $-\Delta$ OpNWC + Δ Deferred inside UFCFF.

Why this choice: Revisions — DSO path unchanged vs Model17 (97 $\rightarrow$ 28d). Op NWC = AR+Inv–AP ONLY. + Δ Deferred is a SEPARATE CFO/FCFF source. No AR/unearned double-count. **Source:**

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>. Deferred = Rev $\times$ (SaaS%+OnPrem%) $\times$ (FY25 Def/FY25 soft Rev); + Δ Deferred in CFO row 81. Faster SaaS mix (+300 bps/yr) raises Deferred cash vs Model17 (+250). Detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue roll-forward (R45)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Note: This PDF is the canonical printable assumptions list. Filings stay clickable in Excel columns U/V; column W on every assumption row links back here.

Primary filings hub: <https://investors.fico.com/financial-information/sec-filings> · **Source** 10-K:

<https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm> · **Source** deferred detail:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>